Morgan Stanley | RESEARCH

UPDATE

July 24, 2026 08:25 AM GMT

Intel Corporation | North America

Strong earnings, higher spending

WHAT'S CHANGED		
Intel Corporation (INTC.O)	From	To
Price Target	$75.00	**$84.00**

AlphaSignals Earnings Reaction

Unchanged Impact to our thesis	**Meaningful upside** Financial results versus consensus	**Meaningful revision higher** Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Intel reported stronger-than-expected upside, and pointed to a higher level of spending tied to significant enthusiasm for long-term foundry prospects – and those prospects will be key from here. Stay EW.

Key Takeaways

- The good news – strong upside in both demand and supply for both PCs and servers
- Clear mgmt enthusiasm for tech development (18A, 18Ap, 14A, and EMIB advanced packaging) as a precursor to foundry prospects
- The more challenging aspect is that higher spending likely leaves the company modestly free cash flow negative this year and next; capital raise?
- We are bullish on CPU server market (though less than some), mixed at best on Intel's server share prospects, and have low conviction on foundry prospects
- Running free cash negative during the biggest server inflection in history puts more pressure than we would like on foundry prospects, and keeps us sidelined

The server market keeps getting better – and somehow, PCs are as well. This morning, AMD indicated that it sees a server CPU TAM of $220 bn in 2030, up from $120 bn 3 months ago and $60 bn 8 months ago. That's one of the most substantial inflections in potential growth prospects that we have ever seen, and even with a lackluster roadmap, Intel is fully participating in that. Data center grew 26% sequentially, higher than our forecast of 15%.

More surprisingly, PCs were also strong, with revenues up 16% vs. our estimate of up 2%, some combination of stronger-than-expected demand, some price inflation, some mix shift higher as the low end of the PC market is more impacted by memory shortages, and in our view some potential accumulation as customers deal with a high inflation environment.

Guidance from this level is sub seasonal, but the company is building a track record of conservatism especially during this strong path so we would feel pretty good

MORGAN STANLEY & CO. LLC

Joseph Moore
Equity Analyst
Joseph.Moore@morganstanley.com +1 212 761-7516

Mason Wayne
Research Associate
Mason.Wayne@morganstanley.com +1 212 761-6012

Shane Brett
Equity Analyst
Shane.Brett@morganstanley.com +1 212 761-1022

Ella Tulchinsky
Research Associate
Ella.Tulchinsky@morganstanley.com +1 212 761-2222

Nicole Kozhukhov
Research Associate
Nicole.Kozhukhov@morganstanley.com +1 212 761-1636

Intel Corporation (INTC.O, INTC US)

Semiconductors | United States of America

Stock Rating	**Equal-weight**
Industry View	**Attractive**
Price target	**$84.00**
Shr price, close (Jul 23, 2026)	$100.23
Mkt cap, curr (mm)	$511,574
52-Week Range	$142.35-18.97

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS ($)**	0.43	1.57	2.00	2.63
Prior EPS ($)**	-	1.19	1.77	2.06
P/E	NM	91.3	67.7	48.1
EPS ($)§	-	1.10	1.60	2.57
Div yld (%)	0.0	0.0	0.0	0.0

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework
** = Based on consensus methodology
§ = Consensus data is provided by Refinitiv Estimates
e = Morgan Stanley Research estimates

QUARTERLY EPS ($)

Quarter	2025	2026e Prior	2026e Current	2027e Prior	2027e Current
Q1	0.13	-	0.29a	0.26	0.30
Q2	(0.10)	-	0.43a	0.37	0.42
Q3	0.23	0.30	0.41	0.49	0.55
Q4	0.16	0.36	0.44	0.64	0.72

e = Morgan Stanley Research estimates, a = Actual Company reported data about 3q numbers.

Management enthusiasm for foundry and packaging remain high. We had commented about this after a recent meeting with management, but proof points on 14A and EMIB-T, as well as industry conditions of tightness in both advanced process nodes, have management exceedingly confident for long-term foundry prospects (risk production in 2028, and volume in 2029) as well as intermediate-term packaging prospects (billions in EMIB T revenue next year).

We continue to see foundry and packaging as a show-me story. EMIB meets a need in packaging, and while we are hearing various growing pains in the market, it seems reasonably low risk that the company will see a material ramp there next year. Foundry is entirely different, and since 2014 we have believed that success in foundry will require a cultural shift that we still have not seen. This view is mostly confirmed by the CEOs of the biggest advanced node semis companies, meaning that foundry prospects are much more dependent upon newcomers to the industry, hyperscalers or systems companies. Importantly, none of our skepticism has ever been that we doubted the companies' capabilities in advanced process technology (where for a decade we have been overly optimistic).

Supporting that enthusiasm, capital spending is moving higher for both 2026 and 2027. Gross capital spending in CY26 moves from ~$15 to $20 bn, and CY27 will be materially higher than that (we are estimating $30bn). With capital spending $8 bn above depreciation, we see fairly minimal free cash flow this year, especially above and beyond Brookfield proceeds, which need to be paid back starting next year. Of course, next year's free cash flow depends on both earnings and capex, which are not yet hard forecasts, but cash generation will be difficult. Management indicated on the call that there could be a capital raise at some point, but with large amounts of gross cash on the balance sheet there is no imminent need.

We would expect investor enthusiasm for this spending to be entirely dependent upon enthusiasm for the longer-term prospects from those investments. That enthusiasm has not been in short supply of late so we would expect the stock to absorb the news reasonably well.

We don't have that enthusiasm, at least not yet, and we remain on the sidelines. The server narrative does support some growth. If AMD and NVIDIA are correct that there is a $200 bn + server CPU market in CY30, Intel could lose substantial share and still grow from its current $24 bn run rate (reflecting majority revenue share).

But earnings prospects from server alone are at least partially dependent on maintaining a shortage, as CPUs being fully in supply would likely result in some share loss and pricing degradation. Stocks that trade on the basis of shortages are numerous, and much less expensive than Intel at least on near-term earnings prospects. The company could resume leadership in server CPU as early as 2028 (the CEO has said that 2027 Coral Rapids will "narrow the gap"). Further, we aren't banking on a 5-year CAGR for servers, with much more confidence in the first half of that window. For Intel to be cash neutral while several semiconductor peers have tens or of billions of free cash flow in the next 2 years leaves us a bit underwhelmed.

Details on the quarter: June non-GAAP revenue of $16.128bn came in above the Street and our estimate of $14.417bn and $14.458bn, respectively. By segment, Client Computing and Physical AI Group (CCPG) revenue was $8.877bn (up 12.8% y/y), Data Center & AI (DCAI) was $6.262bn (up 59% y/y), and Intel Foundry (IFS) revenue was $5.765bn (up 30.5% y/y). Gross margin of 41.8% (up 75bps q/q and 1212bps y/y) was ahead of the Street and our estimate of 39.8% and 39.5%, respectively. Non-GAAP EPS of $0.43 came in ahead of the Street at $0.21 and our estimate of $0.24.

Details on guidance: Revenue was guided to $16.3bn at the midpoint (up 1.1% q/q and 25.4% y/y), above the Street at $15.067bn and our estimate of $15.092bn. Gross margin of 42.0% was above our estimate of 40.5% and the Street also at 40.5%. EPS guidance of $0.38 was above the Street at $0.27 and our estimate of $0.30.

Changes to estimates: We model near the mid-point of guidance for the Sept quarter, expecting non-GAAP revenues, NG gross margin, and NG EPS of $16.256bn/42.4%/$0.41. For CY2026, we model NG revenues, NG gross margin, and NG EPS of $62.720bn/40.8%/$1.57 compared to our prior estimates of $58,760bn/40.9%/$1.19.

In terms of our price target, our CY27 numbers up from $1.77 to $2.00; maintaining the same target multiple of 42x (high end of peer group due to higher potential for operating leverage) brings the target up from $75 to $84.

Morgan Stanley is acting as exclusive financial advisor to AP Grange Holdings, LLC ("AP Grange") in relation to a definitive agreement with Intel Corporation ("Intel"), for Intel to repurchase the 49% equity interest in the joint venture related to Intel's Fab 34 in Ireland not held by Intel, as announced on April 1, 2026. The transaction is subject to customary closing conditions. AP Grange has agreed to pay fees to Morgan Stanley for its financial advisory services. Please refer to the notes at the end of this report.

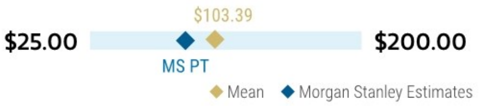
Risk Reward – Intel Corporation (INTC.O)

EW as CPU roadmap and foundry strategy remain uncertain

PRICE TARGET $84.00

~42x EPS CY2027 EPS of $2.00, 42x is above the high end of the large cap logic semi peer group, reflecting high leverage potential on numbers that are still depressed, and foundry optionality, despite our longer term skepticism

Consensus Price Target Distribution



Source: Refinitiv, Morgan Stanley Research

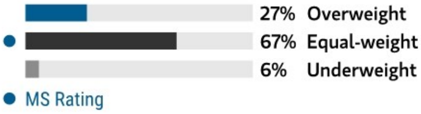
RISK REWARD CHART AND OPTIONS IMPLIED PROBABILITIES (12M)

Source: Refinitiv, Morgan Stanley Research, Morgan Stanley Institutional Equities Division. The probabilities of our Bull, Base, and Bear case scenarios playing out were estimated with implied volatility data from the options market as of 23 Jul 2026. All figures are approximate risk-neutral probabilities of the stock reaching beyond the scenario price in either three-months' or one-years' time. View explanation of Options Probabilities methodology here

EQUAL-WEIGHT THESIS

Server market shortages are creating a strong near term environment for everyone in CPUs, but at these levels we need more confidence in an enduring market position. We are skeptical about Intel's ability to regain performance leadership in servers, and to generate high returns on foundry investments

Consensus Rating Distribution



Source: Refinitiv, Morgan Stanley Research

Risk Reward Themes

New Data Era: *Positive*
Self-help: *Positive*

View descriptions of Risk Rewards Themes here

BULL CASE $137.00

~45x CY2027 EPS of $3.04

Intel clearly addresses issues with the pipeline and roadmap delivers competitive performance that stabilizes share

- Management executes on product roadmaps helping investor sentiment and the multiple

- Revenues reach $77bn in CY27, with 50% gross margins

BASE CASE $84.00

~42x CY2027 EPS of $2.00

Server CPU shortages prove to be manageable beyond 12 months, and AMD continues to be in a share gain position.

Given Intel's historic roadmap issues in server; even the foundry successes could prove a distraction relative to the purer goal of making the world's best microprocessors. For us to turn more constructive we would need to see evidence that Intel can regain performance leadership in servers.

BEAR CASE $50.00

40x bear case EPS of $1.25

Cycle turns in 2027 and Intel share losses continue. Data-centric revenue underwhelms due to lackluster product roadmap and foundry dissapoints.

- AMD continues to take share in consumer and cloud segments, with delays in the Intel product portfolio that create risk of erosion in the previously protected enterprise space

- Multiple compresses as Intel is not able to secure meaningful foundry relationships

Risk Reward – Intel Corporation (INTC.O)

KEY EARNINGS INPUTS

Drivers	Dec 2025	Dec 2026e	Dec 2027e	Dec 2028e
GAAP Revenue ($, mm)	52,853	62,720	71,264	80,195
MW Gross Margin (%)	36.7	42.2	44.5	46.7
MW EPS ($)	(0.05)	1.12	1.69	2.29
Inventory ($, mm)	11,618	12,960	13,167	14,097
DOI	123.0	127.3	118.7	117.9

INVESTMENT DRIVERS

- PC and server units and ASPs
- AMD competition in server
- End market growth in data centers, particularly the cloud, enterprise & government, and telco segments

GLOBAL REVENUE EXPOSURE

- 0-10% UK
- 10-20% Europe ex UK
- 10-20% North America
- 20-30% APAC, ex Japan, Mainland China and India
- 30-40% Mainland China

Source: Morgan Stanley Research Estimate
View explanation of regional hierarchies here

MS ALPHA MODELS

5/5 BEST	24 Month Horizon	5/5 MOST	3 Month Horizon

Source: Refinitiv, FactSet, Morgan Stanley Research; 1 is the highest favored Quintile and 5 is the least favored Quintile

RISKS TO PT/RATING

RISKS TO UPSIDE

- Foundry partnerships de-risk the story and further improve the multiple
- The company regains lost share in desktop and server following CPU shortages

RISKS TO DOWNSIDE

- AMD competition increasingly becomes more significant, which could lead to further share losses in processors and pressure on ASPs
- Minimal success in foundry leads to an inflated cost structure

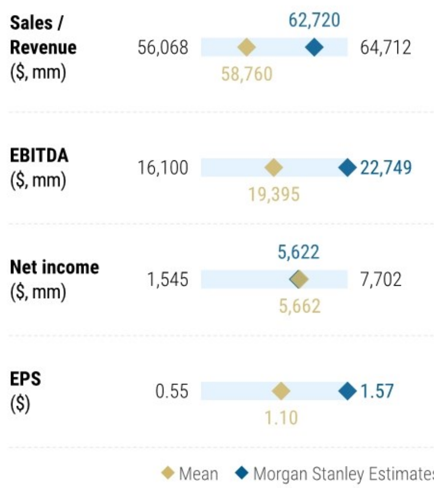
OWNERSHIP POSITIONING

Inst. Owners, % Active	42.9%
HF Sector Long/Short Ratio	2.1x
HF Sector Net Exposure	29.5%

Refinitiv; MSPB Content. Includes certain hedge fund exposures held with MSPB. Information may be inconsistent with or may not reflect broader market trends. Long/Short Ratio = Long Exposure / Short exposure. Sector % of Total Net Exposure = (For a particular sector: Long Exposure - Short Exposure) / (Across all sectors: Long Exposure – Short Exposure).

MS ESTIMATES VS. CONSENSUS

FY Dec 2026e



Source: Refinitiv, Morgan Stanley Research

Financial Summary

Exhibit 1: Income Statement Summary

INTC-US: Snapshot for the quarter ended June 2026

Income Statement									
Qtr Results:	**Actual**			**Lst Qtr**	**QoQ**	**Last Yr**	**YoY**	**Cons.**	**MSe**
Revenue	$16,128			$13,577	*18.8%*	$12,859	*25.4%*	$14,417	$14,458
Gross Margin	*41.8%*			*41.0%*	77	*29.7%*	1215	*39.8%*	39.5%
EPS	$0.42			$0.06	$0.36	($0.28)	$0.70	$0.21	$0.24
Nxt Qtr Outlook:	**Low**	**High**	**Midpoint**						
Revenue	$15,800	$16,800	$16,300		*1.1%*	$13,653	*19.4%*	$15,067	$15,092
Gross Margin			*42.0%*		20	*40.0%*	204	*40.5%*	40.5%
EPS			$0.38		($0.04)	$0.15	$0.23	$0.27	$0.30

Source: Morgan Stanley Research estimates, Company data

Exhibit 2: Income Statement Variance

MW Financials, $ in Millions except per share	Reported F2Q26	MS Est F2Q26	Difference Act vs. Est.	Per share Difference
Total Revenue	16,128	14,458	1,670	0.33
Cost of Sales	9,391	8,741	650	(0.13)
Gross Profit	6,737	5,717	1,020	0.20
Gross Margin	*41.8%*	*39.5%*	2.2%	
R&D	2,792	2,989	-197	0.04
SG&A	1,175	1,190	-15	NM
Other Opex (inc)	-	-	0	NM
Total Op Expenses	3,967	4,179	-212	0.04
Operating Income	2,770	1,538	1,232	0.24
Operating Margin	*17.2%*	*10.6%*	6.5%	
Income tax provision	342	52	290	(0.06)
Net Income	2,197	1,233	964	0.19
EPS	0.43	0.24	0.19	0.19
Diluted Shares Out.	5,104	5,113	(9)	

Source: Morgan Stanley Research estimates, Company data

Projected Financial Statements

Exhibit 3: Intel: Projected Income Statement

me Staten / n Decemb	2024/1C Mar-24 FQ124A	2024/2C Jun-24 F2Q24A	2024/3C Sep-24 F3Q24A	2024/4C Dec-24 F4Q24A	2025/1C Mar-25 F1Q25A	2025/2C Jun-25 F2Q25A	2025/3C Sep-25 F3Q25A	2025/4C Dec-25 F4Q25A	2026/1C Mar-26 F1Q26A	2026/2C Jun-26 F2Q26A	2026/3C Sep-26 F3Q26E	2026/4C Dec-26 F4Q26E
Revenues	$ 12,724	$ 12,833	$ 13,284	$ 14,260	$ 12,667	$ 12,859	$ 13,653	$ 13,674	$ 13,577	$ 16,128	$ 16,256	$ 16,759
Q/Q Change	-17.4%	0.9%	3.5%	7.3%	-11.2%	1.5%	6.2%	0.2%	-0.7%	18.8%	0.8%	3.1%
Y/Y Change	8.6%	-0.9%	-6.2%	-7.4%	-0.4%	0.2%	2.8%	-4.1%	7.2%	25.4%	19.1%	22.6%
Non-GAAP Revenues	$ 12,724	$ 12,833	$ 13,284	$ 14,260	$ 12,667	$ 12,859	$ 13,653	$ 13,674	$ 13,577	$ 16,128	$ 16,256	$ 16,759
Q/Q Change	-17.4%	0.9%	3.5%	7.3%	-11.2%	1.5%	6.2%	0.2%	-0.7%	18.8%	0.8%	3.1%
Y/Y Change	8.6%	-0.9%	-6.2%	-7.4%	-0.4%	0.2%	2.8%	-4.1%	7.2%	25.4%	19.1%	22.6%
COGS	7,507	8,286	11,287	8,676	7,995	9,317	8,435	8,731	8,230	9,619	9,591	9,720
Gross Profit	**5,217**	**4,547**	**1,997**	**5,584**	**4,672**	**3,542**	**5,218**	**4,943**	**5,347**	**6,509**	**6,665**	**7,039**
Gross Margin	41.0%	35.4%	15.0%	39.2%	36.9%	27.5%	38.2%	36.1%	39.4%	40.4%	41.0%	42.0%
R&D	4,382	4,239	4,049	3,876	3,640	3,684	3,231	3,219	3,375	3,368	3,568	3,768
% of Revs.	34.4%	33.0%	30.5%	27.2%	28.7%	28.6%	23.7%	23.5%	24.9%	20.9%	21.9%	22.5%
SG&A	1,556	1,329	1,383	1,239	1,177	1,144	1,129	1,174	1,038	1,175	1,229	1,274
% of Revs.	12.2%	10.4%	10.4%	8.7%	9.3%	8.9%	8.3%	8.6%	7.6%	7.3%	7.6%	7.6%
Other OpEx	348.0	943.0	5,622.0	57.0	156.0	1,890.0	175.0	(30.0)	4,070.0	170.0	-	-
Operating Expenses	**6,286**	**6,511**	**11,054**	**5,172**	**4,973**	**6,718**	**4,535**	**4,363**	**8,483**	**4,713**	**4,797**	**5,042**
Operating Income	**(1,069)**	**(1,964)**	**(9,057)**	**412**	**(301)**	**(3,176)**	**683**	**580**	**(3,136)**	**1,796**	**1,868**	**1,997**
Operating Margin %	-8.4%	-15.3%	-68.2%	2.9%	-2.4%	-24.7%	5.0%	4.2%	-23.1%	11.1%	11.5%	11.9%
Total Interest Income (net) and Other Inc	350	(40)	(29)	187	(285)	407	3,891	(242)	(810)	(12,615)	(33)	(31)
PBT	**(719)**	**(2,004)**	**(9,086)**	**599**	**(586)**	**(2,769)**	**4,574**	**338**	**(3,946)**	**(10,819)**	**1,834**	**1,966**
Income Tax Expense (Benefit)	(282)	(350)	7,903	752	301	255	304	671	335	29	18	236
Effective tax rate	39.2%	17.5%	-87.0%	125.5%	-51.4%	-9.2%	6.6%	198.5%	-8.5%	-0.3%	1.0%	12.0%
Net Income	**(437)**	**(1,654)**	**(16,989)**	**(153)**	**(887)**	**(3,024)**	**4,270**	**(333)**	**(4,281)**	**(10,848)**	**1,816**	**1,730**
Net Income Margin	-3.4%	-12.9%	-127.9%	-1.1%	-7.0%	-23.5%	31.3%	-2.4%	-31.5%	-67.3%	11.2%	10.3%
Extraordinary Items, net of tax	521	1,027	13,915	1,168	710	2,485	535	720	4,421	102	243	216
Net Income - Non-GAAP	**759**	**83**	**(1,976)**	**568**	**580**	**(441)**	**1,023**	**767**	**1,485**	**2,197**	**2,098**	**2,254**
Net Income - MW	**(476)**	**(741)**	**(3,126)**	**(110)**	**(170)**	**(1,211)**	**682**	**487**	**311**	**1,695**	**1,931**	**1,817**
Net income (loss) attribtable to non-contr	(56)	(44)	(350)	(27)	(66)	(106)	207	258	(553)	185	250	250
EPS - GAAP	**$ (0.09)**	**$ (0.38)**	**$ (3.88)**	**$ (0.03)**	**$ (0.19)**	**$ (0.67)**	**$ 0.90**	**$ (0.12)**	**$ (0.73)**	**$ (2.16)**	**$ 0.31**	**$ 0.29**
EPS - Non-GAAP	**$ 0.18**	**$ 0.02**	**$ (0.46)**	**$ 0.13**	**$ 0.13**	**$ (0.10)**	**$ 0.23**	**$ 0.16**	**$ 0.29**	**$ 0.43**	**$ 0.41**	**$ 0.44**
EPS - MW	**$ (0.11)**	**$ (0.17)**	**$ (0.73)**	**$ (0.03)**	**$ (0.04)**	**$ (0.28)**	**$ 0.15**	**$ 0.10**	**$ 0.06**	**$ 0.33**	**$ 0.38**	**$ 0.35**

me Staten / n Decemb	2024FYA	2025FYE	2026FYE	2027FYE	2028FYE
Revenues	$ 53,101	$ 52,853	$ 62,720	$ 71,264	$ 80,195
Q/Q Change					
Y/Y Change	-2.1%	-0.5%	18.7%	13.6%	12.5%
Non-GAAP Revenues	$ 53,101	$ 52,853	$ 62,720	$ 71,264	$ 80,195
Q/Q Change					
Y/Y Change	-2.1%	-0.5%	18.7%	13.6%	12.5%
COGS	35,756	34,478	37,160	40,486	43,652
Gross Profit	**17,345**	**18,375**	**25,560**	**30,779**	**36,543**
Gross Margin	32.7%	34.8%	40.8%	43.2%	45.6%
R&D	16,546	13,774	14,079	15,453	16,225
% of Revs.	31.2%	26.1%	22.4%	21.7%	20.2%
SG&A	5,507	4,624	4,716	5,290	5,449
% of Revs.	10.4%	8.7%	7.5%	7.4%	6.8%
Other OpEx	6,970.0	2,191.0	4,240.0	-	-
Operating Expenses	**29,023**	**20,589**	**23,035**	**20,743**	**21,674**
	34.3%	-29.1%	11.9%	-10.0%	4.5%
Operating Income	**(11,678)**	**(2,214)**	**2,525**	**10,036**	**14,869**
Operating Margin %	-22.0%	-4.2%	4.0%	14.1%	18.5%
Total Interest Income (net) and Other Inc	468	3,771	(13,490)	(372)	(633)
PBT	**(11,210)**	**1,557**	**(10,965)**	**9,664**	**14,237**
Income Tax Expense (Benefit)	8,023	1,531	618	1,160	2,278
Effective tax rate	-71.6%	98.3%	-5.6%	12.0%	16.0%
Net Income	**(19,233)**	**26**	**(11,583)**	**8,504**	**11,959**
Net Income Margin	-36.2%	0.0%	-18.5%	11.9%	14.9%
Extraordinary Items, net of tax	16,631.0	4,450.0	4,981.2	862.4	823.2
Net Income - Non-GAAP	**(1,043)**	**1,929**	**8,035**	**10,467**	**14,082**
Net Income - MW	**(4,453)**	**(212)**	**5,754**	**8,855**	**12,270**
Net income (loss) attribtable to non-contr	(477)	293	132	1100	1100
EPS - GAAP	**$ (4.38)**	**$ (0.06)**	**$ (2.29)**	**$ 1.41**	**$ 2.03**
EPS - Non-GAAP	**$ (0.24)**	**$ 0.43**	**$ 1.57**	**$ 2.00**	**$ 2.63**
EPS - MW	**$ (1.04)**	**$ (0.05)**	**$ 1.12**	**$ 1.69**	**$ 2.29**

Source: Company data, Morgan Stanley Research estimates

Exhibit 4: Intel: Projected Balance Sheet

Base Case **Intel Corporation Balance Sheet** *($ in millions; fiscal year ends in December)*	2025/2C Jun-25 F2Q25A	2025/3C Sep-25 F3Q25A	2025/4C Dec-25 F4Q25A	2026/1C Mar-26 F1Q26A	2026/2C Jun-26 F2Q26A	2026/3C Sep-26 F3Q26E	2026/4C Dec-26 F4Q26E	2024FYA	2025FYE	2026FYE	2027FYE	2028FYE
Assets												
Cash and cash equivalents	$ 9,693.0	$ 11,141.0	$ 14,265.0	$ 17,247.0	$ 12,874.0	$ 13,086.3	$ 8,327.0	$ 8,249.0	$ 14,265.0	$ 8,327.0	$ 2,513.8	$ 7,824.2
Short-term investments	11,563.0	19,794.0	23,151.0	15,542.0	16,853.0	16,853.0	16,853.0	13,813.0	23,151.0	16,853.0	12,853.0	853.0
Trading assets	-	-	-	-	-	-	-	-	-	-	-	-
Accounts receivables, net	2,360.0	3,202.0	3,839.0	4,066.0	4,033.0	4,064.9	4,190.8	3,478.0	3,839.0	4,190.8	4,988.6	5,441.8
Inventory	11,377.0	11,489.0	11,618.0	12,426.0	12,492.0	12,787.8	12,960.3	12,198.0	11,618.0	12,960.3	13,166.7	14,096.7
Deferred tax assets	-	-	-	-	-	-	-	-	-	-	-	-
Assets held for sale	-	-	-	-	-	-	-	-	-	-	-	-
Other current assets	8,382.0	6,105.0	10,815.0	12,876.0	10,961.0	11,047.8	11,389.9	9,586.0	10,815.0	11,389.9	10,972.3	10,880.8
Total Current Assets	**43,375.0**	**51,731.0**	**63,688.0**	**62,157.0**	**57,213.0**	**57,839.9**	**53,721.1**	**47,324.0**	**63,688.0**	**53,721.1**	**44,494.4**	**39,096.6**
Property and equipment, net	109,510.0	105,047.0	105,414.0	104,458.0	105,741.0	107,592.0	111,843.0	107,919.0	105,414.0	111,843.0	128,247.0	145,441.0
Marketable equity securities	5,383.0	8,667.0	8,512.0	8,481.0	8,410.0	8,410.0	8,410.0	5,383.0	8,512.0	8,410.0	8,410.0	8,410.0
Other long-term investments	-	-	-	-	-	-	-	-	-	-	-	-
Restricted cash	-	-	-	-	-	-	-	-	-	-	-	-
Goodwill	23,912.0	23,912.0	23,912.0	20,465.0	20,465.0	20,465.0	20,465.0	24,693.0	23,912.0	20,465.0	20,465.0	20,465.0
Other intangible assets, net	3,057.0	2,877.0	2,772.0	2,722.0	2,545.0	2,445.0	2,345.0	3,691.0	2,772.0	2,345.0	1,945.0	1,545.0
Other long-term assets	7,283.0	12,280.0	7,131.0	7,049.0	8,065.0	8,065.0	8,065.0	7,475.0	7,131.0	8,065.0	8,065.0	8,065.0
Total Assets	**192,520.0**	**204,514.0**	**211,429.0**	**205,332.0**	**202,439.0**	**204,816.9**	**204,849.1**	**196,485.0**	**211,429.0**	**204,849.1**	**211,626.4**	**223,022.6**
Liabilities & Shareholders' Equity												
Short-term debt	6,731.0	2,496.0	2,499.0	2,004.0	1,988.0	1,988.0	1,988.0	3,729.0	2,499.0	1,988.0	1,988.0	1,988.0
Accounts payable	10,666.0	10,268.0	9,882.0	7,159.0	8,756.0	8,631.8	8,748.2	12,556.0	9,882.0	8,748.2	8,977.3	8,970.7
Accrued compensation and benefits	4,249.0	3,756.0	3,990.0	2,824.0	3,748.0	3,748.0	3,748.0	3,343.0	3,990.0	3,748.0	3,748.0	3,748.0
Accrued advertising	-	-	-	-	-	-	-	-	-	-	-	-
Deferred income	-	-	-	-	-	-	-	-	-	-	-	-
Income taxes payable	887.0	825.0	604.0	-	-	-	-	1,756.0	604.0	-	-	-
Other accrued liabilities	12,433.0	14,952.0	14,600.0	14,898.0	21,178.0	21,178.0	21,178.0	14,282.0	14,600.0	21,178.0	21,178.0	21,178.0
Total Current Liabilities	**34,966.0**	**32,297.0**	**31,575.0**	**26,885.0**	**35,670.0**	**35,545.8**	**35,662.2**	**35,666.0**	**31,575.0**	**35,662.2**	**35,891.3**	**35,884.7**
Long-term debt	44,026.0	44,057.0	44,086.0	43,027.0	48,549.0	48,549.0	46,049.0	46,282.0	44,086.0	46,049.0	42,049.0	39,049.0
Long-term deferred tax liabilities	-	-	-	-	-	-	-	-	-	-	-	-
Other long-term liabilities	7,777.0	11,430.0	9,408.0	10,431.0	15,077.0	15,077.0	15,077.0	9,505.0	9,408.0	15,077.0	15,077.0	15,077.0
Shareholders' Equity	**105,751.0**	**116,730.0**	**126,360.0**	**124,989.0**	**103,143.0**	**105,645.1**	**108,060.8**	105,032.0	126,360.0	108,060.8	118,609.1	133,011.9
Total Liabilities & Equity	**192,520.0**	**204,514.0**	**211,429.0**	**205,332.0**	**202,439.0**	**204,816.9**	**204,849.1**	**196,485.0**	**211,429.0**	**204,849.1**	**211,626.4**	**223,022.6**

Source: Company data, Morgan Stanley Research estimates

Exhibit 5: Intel: Project Cash Flow Statement

Intel Corporation

Base Case

Intel Corporation Cash Flow Statement	2025/1C	2025/2C	2025/3C	2025/4C	2026/1C	2026/2C	2026/3C	2026/4C					
($ in millions; fiscal year ends in December)	Mar-25	Jun-25	Sep-25	Dec-25	Mar-26	Jun-26	Sep-26	Dec-26					
	F1Q25A	F2Q25A	F3Q25A	F4Q25A	F1Q26A	F2Q26A	F3Q26E	F4Q26E	2024FYA	2025FYE	2026FYE	2027FYE	2028FYE
Cash flows provided by (used for) operating activities:													
Net income	$ (887.0)	$ (3,024.0)	$ 4,270.0	$ (333.0)	$ (4,281.0)	$ (10,848.0)	$ 1,816.1	$ 1,729.7	$ (19,233.0)	$ 26.0	$ (11,583.2)	$ 8,504.2	$ 11,958.8
Adjustments to reconcile net income to net cash													
Depreciation	2,425.0	2,788.0	2,758.0	2,786.0	2,902.0	2,989.0	3,089.0	3,189.0	9,951.0	10,757.0	12,169.0	13,256.0	14,406.0
Stock-based compensation expense	684.0	664.0	548.0	538.0	621.0	686.0	686.0	686.0	3,410.0	2,434.0	2,679.0	3,144.0	3,544.0
Restructuring and other charges	-	382.0	(10.0)	104.0	3,965.0	2.0	-	-	3,491.0	476.0	3,967.0	-	-
Excess tax benefit from share-based payments	-	-	-	-	-	-	-	-	-	-	-	-	-
Amortization of intangibles	249.0	225.0	234.0	241.0	234.0	235.0	100.0	100.0	1,428.0	949.0	669.0	400.0	400.0
(Gains) losses on equity method investments, net	112.0	(502.0)	(221.0)	97.0	72.0	39.0	-	-	(246.0)	(514.0)	111.0	-	-
Deferred taxes	19.0	87.0	17.0	205.0	(9.0)	(18.0)	-	-	6,132.0	328.0	(27.0)	-	-
Other operating activities	-	482.0	(3,685.0)	191.0	1,090.0	12,694.0	-	-	2,252.0	(3,012.0)	13,784.0	-	-
Changes in current assets and liabilities:													
Accounts receivable	414.0	590.0	(842.0)	(611.0)	(217.0)	(4.0)	(31.9)	(125.9)	(75.0)	(449.0)	(378.8)	(797.8)	(453.1)
Inventory	(83.0)	182.0	(108.0)	(129.0)	(808.0)	(66.0)	(295.8)	(172.5)	(1,105.0)	(138.0)	(1,342.3)	(206.4)	(930.0)
Prepaid expenses and other assets	-	-	-	-	-	-	(86.8)	(342.1)	-	-	(428.9)	417.6	91.4
Accounts payable	(240.0)	354.0	(395.0)	578.0	(142.0)	452.0	(124.2)	116.4	634.0	297.0	302.2	229.1	(6.7)
Accrued liabilities	(741.0)	1,763.0	(481.0)	247.0	(1,175.0)	803.0	-	-	(218.0)	788.0	(372.0)	-	-
Income taxes payable and receivable	67.0	(1,405.0)	142.0	201.0	169.0	(646.0)	-	-	(356.0)	(995.0)	(477.0)	-	-
Other changes in assets and liabilities	(1,206.0)	(536.0)	319.0	173.0	(1,325.0)	688.0	-	-	2,223.0	(1,250.0)	(637.0)	-	-
Net cash provided by operating activities	**813.0**	**2,050.0**	**2,546.0**	**4,288.0**	**1,096.0**	**7,006.0**	**5,152.3**	**5,180.7**	**8,288.0**	**9,697.0**	**18,435.0**	**24,946.7**	**29,010.4**
Cash flows from investing activities:													
Additions to property, plant and equipment	(5,183.0)	(3,550.0)	(2,425.0)	(3,488.0)	(3,636.0)	(2,556.0)	(6,000.0)	(8,000.0)	(23,944.0)	(14,646.0)	(20,192.0)	(30,000.0)	(32,000.0)
Proceeds from capital-related government incentives	803.0	161.0	54.0	559.0	107.0	60.0	60.0	60.0	1,936.0	1,577.0	287.0	340.0	400.0
Restricted cash	-	-	-	-	-	-	-	-	-	-	-	-	-
Acquisitions, net of cash acquired	-	-	-	-	(596.0)	-	-	-	-	-	(596.0)	-	-
Purchase of available-for-sale investments	(3,386.0)	(2,344.0)	(10,671.0)	(7,918.0)	(7,190.0)	(5,547.0)	-	-	(37,940.0)	(24,319.0)	(12,737.0)	-	-
Maturities and sales of available-for-sale investments	5,327.0	3,248.0	2,389.0	4,423.0	14,448.0	(6,724.0)	-	-	42,510.0	15,387.0	7,724.0	4,000.0	12,000.0
Purchases of trading assets	-	-	-	-	-	-	-	-	-	-	-	-	-
Maturities and sales of trading assets	-	-	-	-	-	-	-	-	-	-	-	-	-
Investments in non-marketable equity investments	-	-	-	-	-	-	-	-	-	-	-	-	-
Return of equity method investments	-	-	-	-	-	-	-	-	-	-	-	-	-
Proceeds from divestitures	1,935.0	-	4,251.0	(29.0)	-	-	-	-	-	6,157.0	-	-	-
Customer Prepayments/Other investing activities	585.0	399.0	152.0	(113.0)	(40.0)	11,005.0	-	-	(818.0)	1,023.0	10,965.0	-	-
Net cash used for investing activities	**81.0**	**(2,086.0)**	**(6,250.0)**	**(6,566.0)**	**3,093.0**	**(3,762.0)**	**(5,940.0)**	**(7,940.0)**	**(18,256.0)**	**(14,821.0)**	**(14,549.0)**	**(25,660.0)**	**(19,600.0)**
Cash flows from financing activities:													
Increase (decrease) in short-term debt, net	1,496.0	501.0	(1,997.0)	-	-	-	-	-	-	-	-	-	-
Payments of/Proceeds from long-term debt, net	-	(1,500.0)	(2,250.0)	-	-	(9,000.0)	-	(2,500.0)	2,975.0	(3,750.0)	(11,500.0)	(4,000.0)	(3,000.0)
Proceeds from sales of shares	491.0	-	286.0	(6.0)	427.0	-	-	-	987.0	771.0	427.0	-	-
Repurchase of common stock	-	-	-	-	-	-			-	-	-	-	-
Partner Contributions	955.0	1,283.0	1,414.0	1,456.0	2,064.0	2,018.0	1,000.0	500.0	12,714.0	5,108.0	5,582.0	-	-
Partner Distributions						(14,339.0)	-	-	-	-	(14,339.0)	(1,100.0)	(1,100.0)
Payment of dividends to stockholders	-	-	-	-	-	-	-	-	(1,599.0)	-	-	-	-
Other financing activities	(3,138.0)	498.0	7,699.0	4,399.0	(3,697.0)	13,979.0	-	-	(3,939.0)	9,458.0	10,282.0	-	-
Net cash used for financing activities	**(196.0)**	**782.0**	**5,152.0**	**5,849.0**	**(1,206.0)**	**(7,342.0)**	**1,000.0**	**(2,000.0)**	**11,138.0**	**11,587.0**	**(9,548.0)**	**(5,100.0)**	**(4,100.0)**
Effect of exchange rate changes on cash and cash equivalents	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash and cash equivalents, beginning of period	8,249.0	8,947.0	9,693.0	11,141.0	14,265.0	17,247.0	12,874.0	13,086.3	7,079.0	8,249.0	14,265.0	8,327.0	2,513.8
Change in cash flow due to restatement				(447.0)	(1.0)	(275.0)			-	(447.0)	(276.0)	-	-
Net increase (decrease) in cash and cash equivalents	698.0	746.0	1,448.0	3,571.0	2,983.0	(4,098.0)	212.3	(4,759.3)	1,170.0	6,463.0	(5,662.0)	(5,813.3)	5,310.4
Cash and cash equivalents, end of period	8,947.0	9,693.0	11,141.0	14,265.0	17,247.0	12,874.0	13,086.3	8,327.0	8,249.0	14,265.0	8,327.0	2,513.8	7,824.2
vs. Balance Sheet	8,947.0	9,693.0	11,141.0	14,265.0	17,247.0	12,874.0	13,086.3	8,327.0	8,249.0	14,265.0	8,327.0	2,513.8	7,824.2
Check	-	-	-	-	-	-	-	-	-	-	-	-	-

Source: Company data, Morgan Stanley Research estimates

Risk Reward Reference links

1. View explanation of Options Probabilities methodology - Options_Probabilities_Exhibit_Link.pdf

2. View descriptions of Risk Rewards Themes - RR_Themes_Exhibit_Link.pdf

3. View explanation of regional hierarchies - GEG_Exhibit_Link.pdf

4. View explanation of Theme/Exposure methodology - ESG_Sustainable_Solutions_External_Link.pdf

5. View explanation of HERS methodology - ESG_HERS_External_Link.pdf

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared by Morgan Stanley & Co. LLC, and/or Morgan Stanley C.T.V.M. S.A., and/or Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., and/or Morgan Stanley Canada Limited. As used in this disclosure section, "Morgan Stanley" includes Morgan Stanley & Co. LLC, Morgan Stanley C.T.V.M. S.A., Morgan Stanley Mexico, Casa de Bolsa, S.A. de C.V., Morgan Stanley Canada Limited and their affiliates as necessary.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Shane Brett; Nicole Kozhukhov; Joseph Moore; Ella Tulchinsky; Mason Wayne.

.

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictpolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

As of June 30, 2026, Morgan Stanley beneficially owned 1% or more of a class of common equity securities of the following companies covered in Morgan Stanley Research: Advanced Micro Devices, Aeva Technologies Inc, Allegro Microsystems Inc, Ambarella Inc, Analog Devices Inc., Arm Holdings plc, Astera Labs Inc, Broadcom Inc., Cadence Design Systems Inc, Cerebras Systems, **Intel Corporation**, IonQ Inc, Marvell Technology Group Ltd, Microchip Technology Inc., Micron Technology Inc., NVIDIA Corp., NXP Semiconductor NV, ON Semiconductor Corp., Qorvo Inc, Qualcomm Inc., SanDisk Corporation., Semtech Corp., Silicon Laboratories Inc., Skyworks Solutions Inc, Synopsys Inc., Texas Instruments, Wolfspeed, INC.

Within the last 12 months, Morgan Stanley managed or co-managed a public offering (or 144A offering) of securities of Aeva Technologies Inc, Broadcom Inc., Cerebras Systems, GlobalFoundries Inc, **Intel Corporation**, NVIDIA Corp., NXP Semiconductor NV, ON Semiconductor Corp., Quantinuum, Semtech Corp..

Within the last 12 months, Morgan Stanley has received compensation for investment banking services from Advanced Micro Devices, Aeva Technologies Inc, Allegro Microsystems Inc, Amkor Technology Inc, Analog Devices Inc., Broadcom Inc., Cerebras Systems, **Intel Corporation**, IonQ Inc, Micron Technology Inc., NVIDIA Corp., NXP Semiconductor NV, ON Semiconductor Corp., Quantinuum, Semtech Corp., Texas Instruments.

In the next 3 months, Morgan Stanley expects to receive or intends to seek compensation for investment banking services from Advanced Micro Devices, Aeva Technologies Inc, Allegro Microsystems Inc, Ambarella Inc, Amkor Technology Inc, Analog Devices Inc., Arm Holdings plc, Astera Labs Inc, Broadcom Inc., Cadence Design Systems Inc, Cerebras Systems, GlobalFoundries Inc, **Intel Corporation**, IonQ Inc, Marvell Technology Group Ltd, Microchip Technology Inc., Micron Technology Inc., Navitas Semiconductor Corp, NVIDIA Corp., NXP Semiconductor NV, ON Semiconductor Corp., Qualcomm Inc., Quantinuum, SanDisk Corporation., Semtech Corp., Silicon Laboratories Inc., Skyworks Solutions Inc, Synopsys Inc., Texas Instruments, Wolfspeed, INC.

Within the last 12 months, Morgan Stanley has received compensation for products and services other than investment banking services from Advanced Micro Devices, Allegro Microsystems Inc, Ambarella Inc, Amkor Technology Inc, Analog Devices Inc., Broadcom Inc., Cadence Design Systems Inc, Cerebras Systems, GlobalFoundries Inc, **Intel Corporation**, Marvell Technology Group Ltd, Microchip Technology Inc., Micron Technology Inc., NVIDIA Corp., NXP Semiconductor NV, ON Semiconductor Corp., Qorvo Inc, Qualcomm Inc., Semtech Corp., Silicon Laboratories Inc., Synopsys Inc., Texas Instruments.

Within the last 12 months, Morgan Stanley has provided or is providing investment banking services to, or has an investment banking client relationship with, the following company: Advanced Micro Devices, Aeva Technologies Inc, Allegro Microsystems Inc, Ambarella Inc, Amkor Technology Inc, Analog Devices Inc., Arm Holdings plc, Astera Labs Inc, Broadcom Inc., Cadence Design Systems Inc, Cerebras Systems, GlobalFoundries Inc, **Intel Corporation**, IonQ Inc, Marvell Technology Group Ltd, Microchip Technology Inc., Micron Technology Inc., Navitas Semiconductor Corp, NVIDIA Corp., NXP Semiconductor NV, ON Semiconductor Corp., Qualcomm Inc., Quantinuum, SanDisk Corporation., Semtech Corp., Silicon Laboratories Inc., Skyworks Solutions Inc, Synopsys Inc., Texas Instruments, Wolfspeed, INC.

Within the last 12 months, Morgan Stanley has either provided or is providing non-investment banking, securities-related services to and/or in the past has entered into an agreement to provide services or has a client relationship with the following company: Advanced Micro Devices, Allegro Microsystems Inc, Ambarella Inc, Amkor Technology Inc, Analog Devices Inc., Broadcom Inc., Cadence Design Systems Inc, Cerebras Systems, GlobalFoundries Inc, **Intel Corporation**, IonQ Inc, Marvell Technology Group Ltd, Microchip Technology Inc., Micron Technology Inc., NVIDIA Corp., NXP Semiconductor NV, ON Semiconductor Corp., Qorvo Inc, Qualcomm Inc., Semtech Corp., Silicon Laboratories Inc., Synopsys Inc., Texas Instruments, Wolfspeed, INC.

Morgan Stanley & Co. LLC makes a market in the securities of Aeva Technologies Inc, Ambarella Inc.

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Global Stock Ratings Distribution

(as of June 30, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

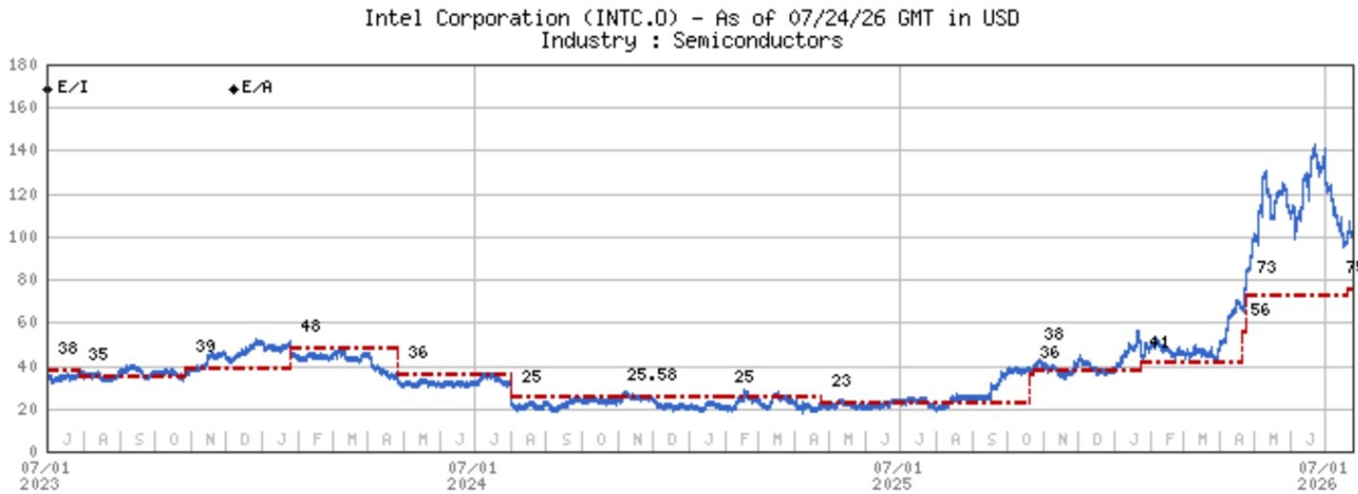
Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Stock Price, Price Target and Rating History (See Rating Definitions)



Stock Rating History: 7/1/21 : O/I; 10/22/21 : E/I; 3/3/22 : U/I; 2/22/23 : E/I; 12/7/23 : E/A

Price Target History: 1/22/21 : 72; 7/23/21 : 70; 10/5/21 : 67; 10/22/21 : 55; 3/3/22 : 47; 4/28/22 : 46; 7/28/22 : 36; 10/27/22 : 29.5; 2/22/23 : 28; 4/27/23 : 31; 6/15/23 : 38; 7/28/23 : 35; 10/27/23 : 39; 1/26/24 : 48; 4/26/24 : 36; 8/2/24 : 25; 10/31/24 : 25.58; 1/31/25 : 25; 4/25/25 : 23; 10/20/25 : 36; 10/24/25 : 38; 1/23/26 : 41; 4/20/26 : 56; 4/24/26 : 73; 7/20/26 : 75

Source: Morgan Stanley Research   Date Format : MM/DD/YY   Price Target --   No Price Target Assigned (NA)
Stock Price (Not Covered by Current Analyst)   Stock Price (Covered by Current Analyst)
Stock and Industry Ratings (abbreviations below) appear as ◆ Stock Rating/Industry View
Stock Ratings: Overweight (O) Equal-weight (E) Underweight (U) Not-Rated (NR) No Rating Available (NA)
Industry View: Attractive (A) In-line (I) Cautious (C) No Rating (NR)

Effective January 13, 2014, the stocks covered by Morgan Stanley Asia Pacific will be rated relative to the analyst's industry (or industry team's) coverage.

Effective January 13, 2014, the industry view benchmarks for Morgan Stanley Asia Pacific are as follows: relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

A member of Research who had or could have had access to the research prior to completion owns securities (or related derivatives) in the Micron Technology Inc., NVIDIA Corp.. This person is not a research analyst or a member of research analyst's household.

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at http://www.morganstanley.com/matrix.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at http://www.morganstanley.com/matrix.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (http://www.morganstanley.com/terms.html). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (http://www.morganstanley.com/terms.html). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research. Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V which is regulated by Comision Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118J); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital

INDUSTRY COVERAGE: Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (07/23/2026)
Joseph Moore		
Advanced Micro Devices (AMD.O)	E (06/09/2024)	$539.69
Aeva Technologies Inc (AEVA.O)	E (07/19/2021)	$16.10
Allegro Microsystems Inc (ALGM.O)	O (02/13/2026)	$50.07
Ambarella Inc (AMBA.O)	O (03/29/2016)	$70.51
Amkor Technology Inc (AMKR.O)	E (11/08/2023)	$65.33
Analog Devices Inc. (ADI.O)	O (11/16/2023)	$380.20
Astera Labs Inc (ALAB.O)	O (05/11/2025)	$326.97
Broadcom Inc. (AVGO.O)	O (06/09/2024)	$392.47
Cerebras Systems (CBRS.O)	O (06/08/2026)	$220.00
GlobalFoundries Inc (GFS.O)	E (10/28/2024)	$56.91
Intel Corporation (INTC.O)	E (02/22/2023)	$100.23
IonQ Inc (IONQ.N)	E (04/25/2023)	$34.07
Marvell Technology Group Ltd (MRVL.O)	E (09/14/2015)	$209.32
Microchip Technology Inc. (MCHP.O)	E (07/10/2024)	$81.35
Micron Technology Inc. (MU.O)	O (10/06/2025)	$990.21
Navitas Semiconductor Corp (NVTS.O)	U (04/06/2025)	$12.03
NVIDIA Corp. (NVDA.O)	O (03/16/2023)	$208.76
NXP Semiconductor NV (NXPI.O)	O (02/11/2025)	$277.29
ON Semiconductor Corp. (ON.O)	++	$90.13
Qorvo Inc (QRVO.O)	E (10/28/2025)	$86.73
Qualcomm Inc. (QCOM.O)	E (06/24/2026)	$171.11
Quantinuum (QNT.O)	E (06/29/2026)	$56.46
SanDisk Corporation. (SNDK.O)	O (03/03/2025)	$1,610.33
Semtech Corp. (SMTC.O)	E (04/06/2025)	$138.68
Silicon Laboratories Inc. (SLAB.O)	E (01/19/2021)	$216.76
Skyworks Solutions Inc (SWKS.O)	E (11/28/2018)	$60.47
Texas Instruments (TXN.O)	U (04/13/2020)	$284.99
Wolfspeed, INC (WOLF.N)	NR (04/06/2025)	$25.96

Lee Simpson		
Arm Holdings plc (ARM.O)	E (04/07/2026)	$283.04
Cadence Design Systems Inc (CDNS.O)	O (02/14/2024)	$330.46
Synopsys Inc. (SNPS.O)	E (02/27/2026)	$373.52

Stock Ratings are subject to change. Please see latest research for each company.
* Historical prices are not split adjusted.